Time: 3 Hours **Max. Marks: 80**

Note:

(1) All questions are compulsory.

(2) Figures to the right indicate full marks for the questions.

(3) Figures to the left indicate question numbers.

(4) Answer to every question must be started on a new page.

Q.1. (A) Select the proper option from the options given below and rewrite the sentences: **(5)[15]**

(1) Issue of share warrant requires prior approval of the _____.
(a) State Government (b) Local body
(c) Central Government

(2) A company can accept deposits from the existing shareholders and debenture holders upto _____ of the total paid-up capital and free reserves.
(a) 10% (b) 20% (c) 25%

(3) A market where existing securities are resold or traded is called _____ Market.
(a) commodity (b) secondary (c) primary

(4) The _____ concerns can acquire funds from various sources.
(a) newly established (b) small trading
(c) well established

(5) Final dividend is declared at _____ meeting.
(a) extraordinary general (b) statutory
(c) annual general

(B) Match the correct pairs: **(5)**

	Group "A"		Group "B"
1.	Private placement	a.	Recurring deposit
2.	N.S.D.L.	b.	Dividend
3.	Overdraft facility	c.	Evidence of deposit
4.	Deposit receipt	d.	Interest
5.	Returns on share	e.	Depository out of India
		f.	A public company collecting capital privately
		g.	Depository in India
		h.	Evidence of ownership
		i.	A private company collecting capital privately
		j.	Current account

(C) Write a word or a phrase or a term which can substitute each one of the following statements: **(5)**

(1) The place where buying and selling of securities takes place.
(2) The difference between current assets and current liabilities.
(3) The reserve created for the protection of interest of debenture holders.
(4) The Latin word from which the word 'dividend' is derived.
(5) A definite promise in writing from a buyer for paying the amount on a specific date.

Q.2.		**Distinguish between the following: *(Any* three*)***	**[15]**
	(1)	Final dividend and Interim dividend	
	(2)	Money market and Capital market.	
	(3)	Shareholder and Debenture holder	
	(4)	Share certificate and Share warrant	
	(5)	Primary market and Secondary market	
Q.3.		**Write short notes on (Any THREE):**	**[15]**
	(1)	Statutory conditions of valid allotment of shares.	
	(2)	External factors influencing capital structure.	
	(3)	Retained profits.	
	(4)	Legal provisions regarding declaration of dividend.	
	(5)	Procedure for conversion of debentures.	
Q.4.		**State with reasons, whether the following statements are True or False: *(Any* THREE*)***	**[15]**
	(1)	Share transfer in depository mode is fast and economical.	
	(2)	Issue of bonus shares is compulsory.	
	(3)	Financial management is essential for all types of organization.	
	(4)	A public company can receive deposits from the public to any extent.	
	(5)	Preference shareholders have normal voting rights.	
Q.5.		**Attempt the following: *(Any* TWO*)***	**[10]**
	(1)	What is transmission of shares? State its reasons.	
	(2)	Draft a lodgement notice to a transferor.	
	(3)	Draft a letter to a debenture holder informing him about redemption of debenture.	
	(4)	Draft a letter to a depositor informing him about payment of interest.	
Q.6.		Define 'debenture'. Explain types of debentures.	**[10]**
		OR	
		Write a letter to a shareholder regarding issue of bonus shares.	